

Plain BROKE

A series of populist measures by successive governments in the state have left the exchequer penniless

| By Arvind Chhabra |

Punjab has three barrages at Ropar, Hussainiwala and Harike. God forbid, if a flood-like situation emerges, the gates might not work because we haven't earmarked a penny to lubricate them." This was Manpreet Badal, Punjab finance minister, speaking at an interactive session on January 9 in Chandigarh.

Though hypothetical, Manpreet's observation quite aptly and accurately describes the financial mess that Punjab is in today. Its coffers are empty and with debt mounting by the hour, the state's budgeting and planning have flown out of the window. It has no money to spare for development projects; not even for not-so-costly but crucial lubricants for floodgates.

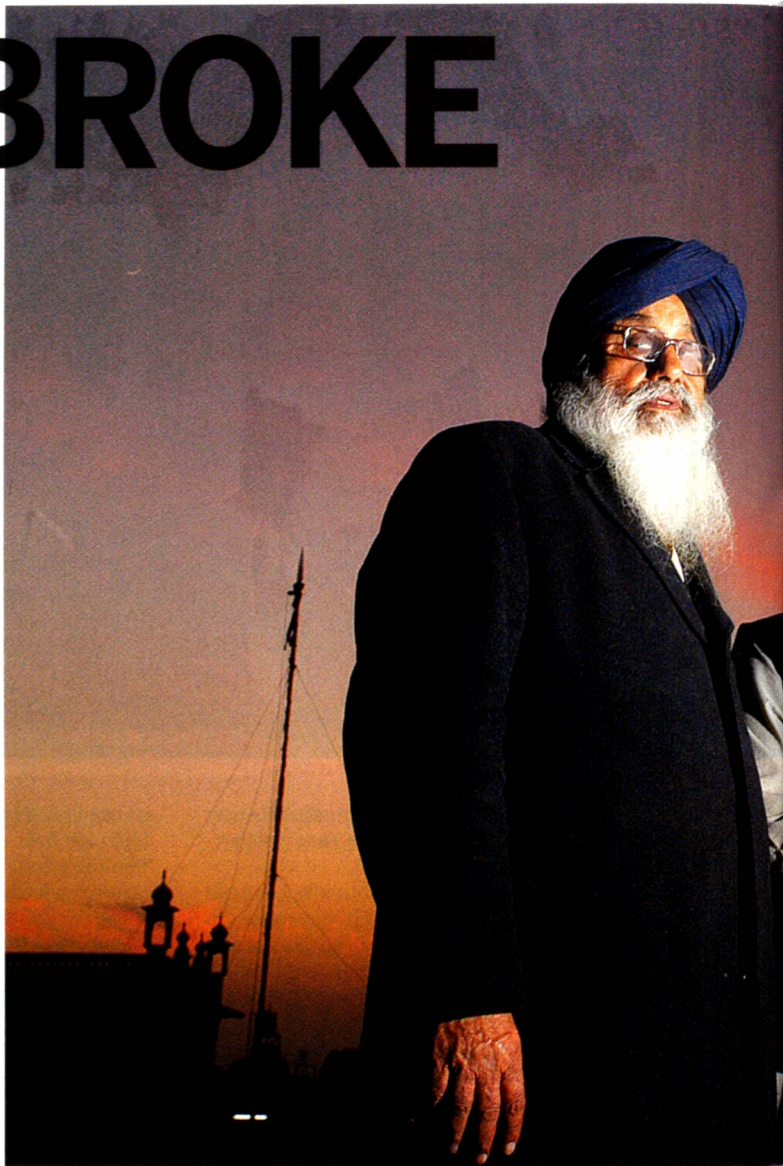
The litany of crises would give an army of economists a shake but it doesn't seem to faze the Punjab political leadership which—only a few days ago, giving in to the BJP's pressure—added nearly Rs 550 crore to its burden when it announced a rollback of hike in power tariff for domestic and industrial consumers.

Yes, subsidies and freebies have become a culture in Punjab. No wonder the food bowl of India and the land of plenty is in a debt trap. As a result, every budget's foremost priority is to keep a significant portion of this loan for the interest: at present over Rs 5,000 crore. The state is forced to constantly reduce budgets in

important areas such as education and health. Industry is moving out to other states. Penniless Punjab needs to adopt tough, austere measures but is infamous for wasteful expenditure.

With state Assembly polls two years away and having doled out subsidies all this while, it's futile to expect the Shiromani Akali Dal (SAD) Government to go into withdrawal mode.

It would, however, be unfair to blame the present regime alone. It all started in the 1980s during the days when terror ruled the state and the system had collapsed, when no one paid taxes and no one collected them. Punjab is hoping that the Centre will bail it out with big waivers. The state is trying to convince Delhi that the crisis is the doing of a proxy war that a neighbour-



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